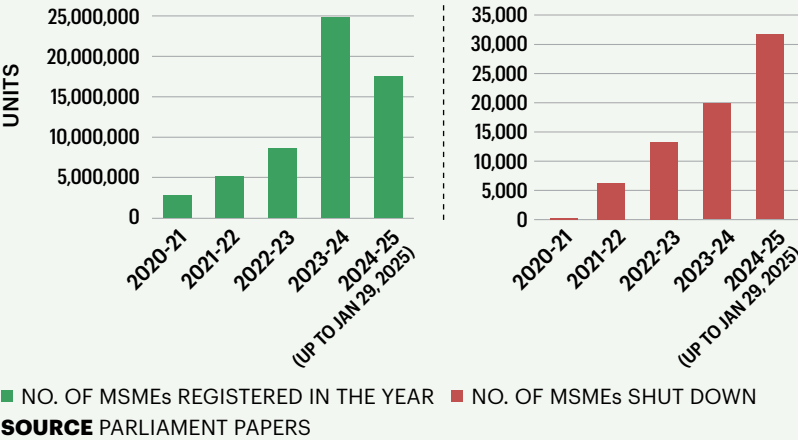




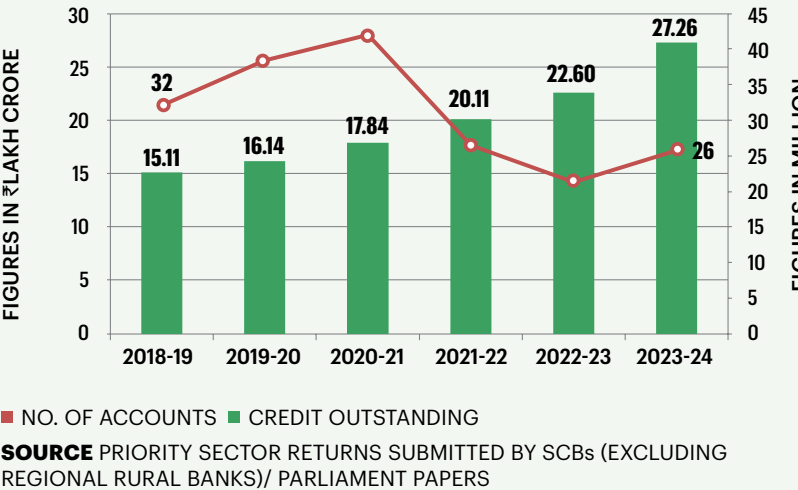
BY THE REGISTER

• Total number of MSMEs registered in India was 58.9 million as on January 31, 2025 • 71,178 units were deregistered as they closed shop



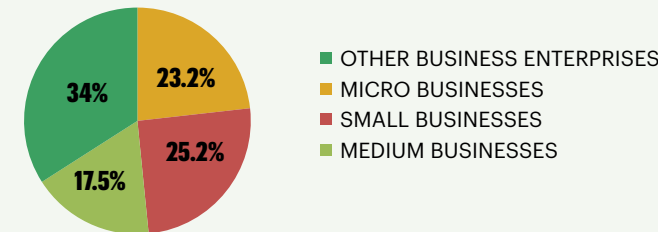
CREDIT ACCESS, A CHALLENGE

• Outstanding credit to MSMEs rose to ₹27.26 lakh crore by 2024, from ₹16.14 lakh crore in 2020



ECLGS: A SNAPSHOT

• ECLGS provided guarantees to 11.9 million businesses, including 11.3 million MSMEs, for ₹3.68 lakh crore



of Indian Entrepreneurs, believes the sector is still reeling from multiple shocks—demonetisation, the global slowdown, and the Covid-19 pandemic. While the rollout of the Goods and Services Tax (GST) was not as disruptive as initially feared, frequent rate changes and variations in tax slabs for similar products have added to compliance challenges for small businesses, he says.

“Not every small business has to be registered for GST. But those that do not register are less competitive as they are not a part of the input tax credit chain and face problems in selling both to the domestic market and in exports. But being registered under GST means that compliance is a challenge, and many are just not equipped to deal with it,” says Bhardwaj.

Raghunathan also points out that a persistent challenge for MSMEs is the “four Ms”—material, money, manpower, and marketing. High raw material costs, delayed payments, difficulties accessing bank loans, and a shortage of skilled labour continue to impede growth. Additionally, global uncertainties, including trade wars, threaten MSMEs’ operations. The sector contributes around 46% of India’s total exports, meaning changes in international trade policies directly affect their businesses.

Delayed payments are another critical issue, despite there being a facilitation council to review payments delayed beyond 45 days as well as a new income tax rule, this continues to be too much of a burden. As many as 91,683 cases were filed with the MSE Facilitation Council over delayed payments involving ₹28,215 crore by mid-February 2025, as per the MSME Samadhan portal. Over 41,000 cases are pending, reflecting slow enforcement.